

REC Ltd

RECLTD | Financials

ROE	ROCE	OPM
20.4%	9.3%	100.8%
D/E Ratio	Interest Coverage	EPS
6.42	1.6x	■54.00

5-Year Financial Trend

Year	Revenue (Cr)	Net Profit (Cr)
2024-03	■47,517	■14,145
2023-03	■39,486	■11,167
2022-03	■39,276	■10,036
2021-03	■35,557	■8,378
2020-03	■29,942	■4,972

Cash Flow Intelligence

Metric	Value
CFO Quality	Accrual Risk
CapEx Intensity	Moderate
Capital Allocation	Distress Signal
FCF 5Y CAGR	N/A
Distress Flag	YES ■

✓ Investment Strengths (Pros)

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Profits growing faster than revenue shows improving operating leverage and scale benefits

■ Investment Concerns (Cons)

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility